

How often does price turn at D? One of the tenets of this pattern is that price will turn downward at D. The statistics in the table prove that's true nearly all of the time. A new question arises: How far does price drop after D?

How many drop to point ... ? I used the pattern's turns and tabulated how often price reached those turns. For example, I found that price dropped to point C between 38% (bull market) and 44% (bear market) of the time.

Table 16.3 Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price turn at D?	86%	85%
How many drop to point A?	24%	34%
How many drop to point B?	76%	83%
How many drop to point C?	38%	44%

Hopefully, you can use these locations to help gauge where price will turn upward and give you a clue when to close out a trade (short sale) or maybe enter a new one (long side).

Before making a trade using this chart pattern, we see from [Table 16.2](#) that the average decline in bull markets is 13%. You might compare that to the location in your butterfly to see where it matches with the XABC turns (measure 13% down from the peak at D). Then use [Table 16.3](#) to look at the probability of the stock dropping to that turn. You'll have to make an evaluation if the reward is worth the risk of a trade.

Sample Trade

[Figure 16.4](#) shows a trade Susan made using a bearish butterfly.